



VELVET CAPITAL

Crypto Project Research Report

Deep-Dive Analysis | July 2026 | NBZ / NASIR

A comprehensive, independently researched analysis of Velvet Capital covering Team, Technology, Tokenomics, Market Overview, Use Cases, Competitors, Recent News & Investment Risk Assessment — sourced from verified and up-to-date public data.

Research by NBZ / NASIR

TOKEN	SECTOR	FOUNDED	MAX SUPPLY	CMC RANK
\$VELVET	DeFAI Terminal	2023	1B VELVET	#126

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PROJECT OVERVIEW

PROJECT SUMMARY

FIELD	DETAIL
Project Name	Velvet Capital
Token Ticker	\$VELVET
Blockchain	Multi-chain: Base, Ethereum, BNB Chain, Solana, Hyperliquid, Monad, Sonic
Founded	2023 (originally launched as an AI-powered DeFi asset management platform on BNB Chain)
Sector	DeFAI (Decentralized Finance + AI) — onchain trading terminal, portfolio management, white-label infrastructure
Contract Address (example)	0x8b194370825e37b33373e74a41009161808c1488
Current Focus	AI-powered multi-chain trading terminal with spot, perpetuals, yield, vaults, and synthetic pre-IPO markets
Scale (reported)	100,000+ users; \$200M+ traded onchain as of mid-2026

WHAT IS VELVET CAPITAL?

Velvet Capital is an AI-powered onchain trading and portfolio management terminal, positioned within the emerging 'DeFAI' category — a blend of decentralized finance and artificial intelligence. The platform combines a native trading application, an agentic Telegram interface, execution APIs, and an AI automation framework into a single unified stack operating across seven blockchain networks. Its core pitch is a single interface that lets users discover, analyze, trade, and automate onchain positions across many chains instead of juggling multiple separate apps and wallets.

THE PROBLEM IT SOLVES

DeFi trading today is fragmented: traders must use different apps and wallets for each blockchain, manually compare prices across dozens of decentralized exchanges, and lack professional-grade tools like TradingView-style charting or advanced order types that centralized platforms take for granted. Velvet's thesis is that combining an AI copilot with a unified multi-chain execution layer eliminates this fragmentation — letting both novice and professional traders access millions of spot pairs, perpetual contracts, and yield opportunities from one non-custodial dashboard, with natural language commands replacing manual multi-step transaction flows.

A PROJECT THAT HAS PIVOTED SIGNIFICANTLY

It is important to note that Velvet Capital has evolved substantially since its 2023 launch. It began as an AI-powered DeFi asset management operating system centered on vault creation for fund managers and DAOs on BNB Chain. By mid-2026, the platform had repositioned itself primarily as a broad AI crypto trading terminal spanning spot trading, perpetuals via Hyperliquid, yield strategies, and — most recently and most controversially — synthetic leveraged pre-IPO markets for private companies including SpaceX, OpenAI, and Anthropic. This pivot toward speculative trading products is a meaningful shift from the original vault-manager-focused positioning and is directly relevant to the extreme price volatility documented in Sections 8 and 10.

TEAM & FOUNDERS

CORE TEAM

NAME	ROLE	KEY BACKGROUND
Vasily Nikonov	Founder & CEO	Public LinkedIn and Twitter/X profiles; has represented Velvet at industry events including BNB Chain ecosystem activities
Ankit Raj	CTO	Public LinkedIn profile; leads technical architecture and product engineering
Michael Hage	VP, Business Development	Leads partnerships and business development for the platform
Brendan Nestor	Head of Growth	Leads growth, marketing and community expansion initiatives

TEAM TRANSPARENCY ASSESSMENT

Velvet Capital's leadership team is publicly named with verifiable LinkedIn profiles for its founder and CTO, which is a positive transparency signal relative to fully anonymous projects. However, detailed prior professional history — previous companies, specific technical credentials, or track records in either traditional finance or blockchain development — is not extensively documented in public sources as of this report. The team's public presence has focused primarily on product announcements and partnership activity rather than founder-level thought leadership or detailed biographical disclosure.

BACKING FROM YZI LABS

A notable credibility signal for the team is the project's Tier 1 backing from YZi Labs (formerly Binance Labs) — one of the most recognized incubators in the crypto industry. Being selected for incubation or investment by an entity of this profile typically involves a degree of team and technical due diligence, lending indirect credibility to the founding team even where detailed public biographical information remains limited.

TECHNOLOGY & WHITEPAPER REVIEW

TECHNOLOGY STACK

COMPONENT	DESCRIPTION
Blockchain Layer	Multi-chain: Base, Ethereum, BNB Chain, Solana, Hyperliquid, Monad, Sonic — Velvet does not operate its own blockchain
Consensus	Inherits each host chain's native consensus (Ethereum/Base/BNB: Proof-of-Stake; Solana: Proof-of-History + PoS) — no proprietary consensus layer
Core AI System	Velvet Unicorn (VU) — a self-improving multi-agent AI framework for research, natural language trade execution, and autonomous portfolio management
Trading Terminal	AI-powered routing engine with MEV protection; TradingView charts; advanced order types; trending token discovery
DEX Aggregation	Routes through Jupiter, 1inch, 0x, KyberSwap, Barter, Portals, OKX DEX, DFlow, Hyperliquid, and Enso
Vault / Portfolio System	Non-custodial smart contract vaults; managers create public/private vaults; followers get identical entry pricing (no front-running)
Token Model	veVELVET vote-escrowed staking — lock VELVET up to 4 years for governance rights, tiered fee discounts, and protocol revenue share
Rewards System	GEMS — earned through trading and staking activity, converted to VELVET monthly, linking usage directly to token demand
Second Token — VU	Acts as 'gas' for AI inference and agentic strategies; each VU spend split: 1/3 burned, 1/3 to R&D; treasury, 1/3 to veVELVET stakers as VELVET rewards
Wallet Infrastructure	Non-custodial; supports MetaMask, Phantom, and email/social login wallets powered by Turnkey
Security Audits	PeckShield, Spearbit, Softstack, Resonance Security, Shellboxes, OpenZeppelin, plus Forta monitoring and a Hats Finance bug bounty

A COORDINATION AND AGGREGATION LAYER

Like several other application-layer projects in this research series, Velvet Capital does not build its own blockchain or consensus mechanism. Instead, it functions as an aggregation and coordination layer sitting on top of seven established networks, routing trades through leading DEX aggregators and liquidity sources on each chain. This is a pragmatic architectural choice that lets Velvet focus engineering resources on its AI layer and user experience rather than blockchain infrastructure, while inheriting the security guarantees of the underlying chains it connects to.

THE veVELVET AND VU DUAL-TOKEN DESIGN

Velvet's tokenomics center on a vote-escrow (ve) model common in DeFi, where locking VELVET for up to four years grants veVELVET — conferring governance rights, fee discounts, and a share of protocol revenue. The secondary VU token specifically monetizes AI usage: every AI-driven trade or strategy execution consumes VU, with that spend split three ways between token burn, an R&D; treasury, and rewards to veVELVET stakers. This creates a direct mechanical link between platform AI usage and demand for the core VELVET token, though the model's effectiveness depends entirely on genuine platform usage volume rather than speculative trading of the token itself.

USE CASES & REAL-WORLD APPLICATIONS

USE CASE OVERVIEW

USE CASE	DESCRIPTION	STATUS / EXAMPLE
AI-Powered Spot & Perps Trading	Natural language and manual trading across 7 chains with MEV-protected routing	Live — 100,000+ users, \$200M+ traded onchain
Vault / Portfolio Management	Vault managers create public or private portfolios; followers copy at identical entry price	Live — used by investment DAOs, KOLs, trading groups
White-Label DeFi Infrastructure	Teams launch fully branded DeFi apps on Velvet's execution engine	Available for crypto projects, DAOs, fintech platforms
Synthetic Pre-IPO Markets	Leveraged synthetic exposure to private companies before public listing	Launched June 2026 — SpaceX, OpenAI, Anthropic
veVELVET Staking	Lock VELVET up to 4 years for governance, fee discounts, and revenue share	Live
BNB Chain Vault (Falcon Finance)	Lock VELVET 180 days, earn 20-35% APR in USDf synthetic dollar	Live — capped at 50M VELVET capacity
Trade.xyz Integration	Unified access to crypto, stocks, commodities, and research tools	Announced June 3, 2026
GEMS Rewards Program	Points earned via trading/staking activity, monthly conversion to VELVET	Live — 'Epoch 11' as of May 2026
VelvetX Mobile App	Dedicated iPhone home screen application	Launched June 29, 2026

THE CORE THESIS

Velvet Capital's broadest use case thesis is consolidation: rather than requiring traders to use separate apps for spot trading, perpetuals, yield farming, and portfolio copy-trading across different blockchains, Velvet aims to be the single professional-grade terminal for all of these activities. Its expansion into synthetic pre-IPO markets represents an attempt to capture a genuinely novel niche — retail traders otherwise have no accessible route to speculate on private companies like SpaceX before a public listing, and Velvet's synthetic markets create a crypto-native way to gain that exposure, albeit without any actual equity ownership.

A HIGH-RISK PRODUCT EXPANSION

It should be clearly understood that Velvet's synthetic pre-IPO markets are among the most speculative instruments in onchain trading. Users are not holding actual equity in SpaceX, OpenAI, or Anthropic — they are holding a leveraged token-based derivative tracking a reference valuation for a private company that does not trade on any public market and does not report financials publicly. Price discovery for these synthetic instruments is inherently murky, and adding leverage on top of that murky reference point is a structurally risky combination — a fact that played out directly in the extreme price volatility covered in Section 8.

COMMUNITY

COMMUNITY METRICS

METRIC	DATA
Total Users (reported)	100,000+
Total Onchain Volume Traded	\$200M+ (as of mid-2026)
Supported Chains	7 — Base, Ethereum, BNB Chain, Solana, Hyperliquid, Monad, Sonic
New User Incentive	15% cashback on trading fees during first month
Referral Program	20% cashback + 50% lifetime fee share for referrers
GEMS Program	Points-based rewards system — 'Epoch 11' running as of late May 2026
Media Coverage	Nasdaq, Cointelegraph, Yahoo Finance, Business Insider, TechInAsia, BSC News, PANews
Mobile Presence	VelvetX iPhone home screen app launched June 29, 2026
Community Sentiment (per social discussion)	Mixed — euphoria over pre-IPO product innovation offset by caution over on-chain insider distribution signals

A TRADER-FIRST, NOT SOCIAL-FIRST, COMMUNITY

Velvet Capital's community is built primarily around active platform usage — traders, vault managers, investment DAOs, and KOLs using the terminal for real trading activity — rather than purely social or speculative token holding. The referral and cashback incentive structures are designed to convert trading volume directly into user acquisition, and the GEMS points program ties community rewards to genuine platform engagement rather than passive token holding.

However, social media discussion following the June 2026 SpaceX pre-IPO rally revealed a genuinely divided community sentiment. Some traders drew bullish comparisons to other YZi Labs-backed token rallies, projecting aggressive price targets, while on-chain analysts simultaneously raised concerns about team-linked and market-maker-linked wallets moving significant token volumes to exchanges during the same rally — a tension between hype-driven enthusiasm and on-chain skepticism that is documented in more detail in Section 10.

INVESTORS & PARTNERSHIPS

FUNDING SUMMARY

ITEM	DETAIL
Total Raised	\$3.70M
Lead Investor (Tier 1)	YZi Labs (formerly Binance Labs) — Incubator
Tier 2	MH Ventures
Notable Ecosystem Backer	Arbitrum Foundation (Corporation)

FULL INVESTOR ROSTER

INVESTOR	TIER	TYPE
YZi Labs (formerly Binance Labs)	Tier 1	Incubator
MH Ventures	Tier 2	Venture
SkyVision Capital	Tier 3	Venture
Blockchain Foundation	Tier 3	Venture
Selini Capital	Tier 3	Venture
Rarestone Capital	Tier 3	Venture
Gate Labs	Tier 3	Incubator
LucidBlue Ventures	Tier 3	Venture
IBC Ventures	Tier 3	Venture
echo	Tier 3	Venture
Poolz Ventures	Tier 3	Venture
Ceras Ventures	Tier 3	Venture
DWF Ventures	Tier 3	Venture
NxGen	Tier 4	Venture
Gains Associates	Tier 4	Venture
Blockchain Builders	Tier 4	Venture
Funfair Ventures	Tier 4	Venture
Cointelegraph	Tier 4	Incubator
Mindfulness Capital	Tier 4	Venture
Mucker Capital	Tier 4	Venture
PAKA	Other	DAO
Arbitrum Foundation	Other	Corporation
300DAO	Other	DAO

WHAT THE FUNDING STRUCTURE SIGNALS

At \$3.70M raised, Velvet Capital's funding is modest in absolute terms, but the investor list is unusually wide — spanning more than 20 named backers across four tiers plus DAO and corporate participants. YZi Labs' Tier 1 position is the most significant single signal, given the incubator's central role in the Binance/BNB Chain ecosystem and its track record backing other tokens that saw dramatic rallies. DWF Ventures/DWF Labs' involvement is worth flagging specifically: DWF is both an investor and, per independent reporting, an active market maker for VELVET — and DWF-linked wallets were specifically identified moving tokens to exchanges during the June 2026 rally (see Section 10), which is a relevant conflict-of-interest consideration for prospective token holders.

KEY PARTNERSHIPS

PARTNER	DATE	DESCRIPTION
Trade.xyz	Jun 3, 2026	Integration connecting crypto, stocks, commodities, research, and execution tools in one platform
Aerodrome Finance	Jun 12, 2026	Migrated all Base-chain protocol-owned liquidity to Aerodrome, the largest Base DEX, to deepen pools and tighten spreads
Falcon Finance	Ongoing	BNB Chain vault product — lock VELVET 180 days for 20-35% APR in USDf synthetic dollar
Hyperliquid	Ongoing	Perpetual futures execution venue integrated into the Velvet terminal
Hats Finance	Ongoing	Open audit competition / bug bounty program

TOKENOMICS

TOKEN BASICS

PARAMETER	DETAIL
Token Symbol	\$VELVET
Total / Max Supply	1,000,000,000 VELVET (1 Billion — fixed)
Circulating Supply	420,830,000 VELVET (~42.1% of total as of report date)
Total Supply (on-chain)	1.00B VELVET
Unlocked Percentage	43.88% (reported by project)
Token Utility	Governance (via veVELVET), fee discounts, protocol revenue share, emission voting, dilution protection
Secondary Token	VU (Velvet Unicorn) — 'gas' token for AI inference; 1/3 burned, 1/3 to R&D;., 1/3 to veVELVET stakers per use
Staking Model	Vote-escrowed (ve) — lock VELVET up to 4 years for veVELVET

TOKEN ALLOCATION & VESTING BREAKDOWN

ALLOCATION	TOTAL %	UNLOCKED	LOCKED
Team & Advisors	20.0%	—	20.0%
Foundation	18.3%	—	—
Ecosystem	17.5%	—	—
Early Backers	15.0%	—	15.0%
Future Listings	7.0%	—	—
Airdrop	5.0%	—	—
Growth Fund	5.0%	—	—
Liquidity	5.0%	5.0%	—
Future (Reserve)	4.5%	4.5%	—
Binance Wallet	2.0%	2.0%	—
Community	0.5%	0.2%	0.3%
Wallet Marketing	0.2%	—	—

SUPPLY STRUCTURE ANALYSIS

With 43.88% of total supply unlocked and 420.83M of 1 billion tokens in circulation, VELVET carries a moderate remaining supply overhang — a majority of supply (roughly 56%) remains locked across Team & Advisors (20%), Early Backers (15%), Foundation (18.3%), Ecosystem (17.5%), and smaller categories. The Team & Advisors and Early Backers allocations combined represent 35% of total supply that remains fully locked as of report date — a meaningful future dilution factor that prospective holders should weigh against current circulating supply figures.

It is also worth noting that reported circulating supply figures may not fully capture practical liquidity dynamics. During the June 2026 rally, independent analysis found VELVET's market capitalization reached approximately \$745 million against less than \$1 million in actual protocol deposits — an extreme disconnect signaling that a very thin float of freely tradable tokens was driving an outsized market cap figure, a dynamic explored further in Sections 8 and 10.

MARKET OVERVIEW

MARKET DATA (July 2026)

METRIC	DATA
Token Symbol	\$VELVET
Current Price	~\$0.47-0.57 (highly volatile; down sharply from late-June peak)
24h Low / High	\$0.4685 / \$0.6000
Market Cap	\$201.45M
Unlocked Market Cap	\$210.10M
Fully Diluted Market Cap	\$478.71M
24h Volume	\$30.72M - \$37.7M (varies by source/time)
Max Supply	1,000,000,000 VELVET
Circulating Supply	420,830,000 VELVET
All-Time High	\$2.092-\$2.16 — reached June 29, 2026
All-Time Low	\$0.03206
CMC Rank	#126
Total Raised	\$3.70M
7-Day Change (late June)	-58.50% (per CoinGecko, after ATH)

PRICE HISTORY — AN EXTREME NARRATIVE-DRIVEN RALLY

VELVET's price history in mid-2026 is dominated by one of the most extreme narrative-driven rallies in the market that year. After a long-standing resistance zone near \$0.20-\$0.22, the token's June 3 Trade.xyz integration announcement began a breakout. The catalyst intensified dramatically on June 10-11 when Velvet launched synthetic leveraged pre-IPO markets for SpaceX, OpenAI, and Anthropic just ahead of SpaceX's real-world IPO on June 12, 2026. VELVET surged over 1,400% in the week leading to June 12, hitting an intraday high near \$1.83-\$1.85, with market cap briefly reaching approximately \$745 million despite less than \$1 million in actual protocol deposits — a striking disconnect between price and underlying platform fundamentals. Open interest on VELVET derivatives reportedly surged to nearly \$94 million, with trading volumes exceeding \$108 million during the peak.

A second catalyst — full migration of Base-chain protocol-owned liquidity to Aerodrome Finance — extended the rally further, and VELVET reached its all-time high of approximately \$2.092-\$2.16 on June 29, 2026. However, by June 30 the token had already pulled back to around \$1.55, and by early July it had fallen further to the \$0.47-\$0.60 range documented in this report — a decline of roughly 70-75% from the all-time high within approximately one week.

FUNDAMENTAL VALUATION CONTEXT

At a market cap of \$201.45M against a fully diluted valuation of \$478.71M, VELVET trades at roughly 42% of its fully diluted value. Independent analysts have repeatedly flagged the disconnect between VELVET's market cap during its rally peak and the platform's actual reported usage metrics (100,000 users, \$200M+ cumulative traded volume) — noting this created high risk of a severe correction once the SpaceX IPO catalyst fully priced in, which is precisely what occurred.

COMPETITORS & MARKET POSITION

COMPETITOR COMPARISON

PROJECT	TYPE	KEY FEATURES	vs VELVET CAPITAL
1inch	DEX Aggregator	Long-established, single-purpose swap aggregator across many chains	Narrower scope — no AI copilot, no vault/portfolio management, no synthetic markets
GMX / Hyperliquid	Perpetuals DEX	Dedicated perpetual futures trading infrastructure	Velvet integrates Hyperliquid rather than competing directly; narrower single-product competitors have deeper perps-specific liquidity
Enzyme Finance	Onchain Asset Management	Established vault/fund infrastructure for onchain portfolio management	Longer track record and larger TVL in pure vault management; lacks Velvet's AI copilot and synthetic markets
Other 'DeFAI' tokens (e.g. \$LAB)	AI + DeFi Narrative Tokens	Similar AI-narrative-driven token category that saw comparable parabolic rallies	Velvet's rally was explicitly compared to \$LAB by traders — same YZi Labs-backed rally pattern and risk profile
Velvet Capital (\$VELVET)	DeFAI Trading Terminal	7-chain terminal, AI copilot, vaults, white-label infra, synthetic pre-IPO markets	Broadest feature set among comparables, but also carries the most speculative product line and volatility

A BROAD FEATURE SET, A NARROW MOAT

Velvet Capital's competitive positioning rests on breadth rather than depth in any single vertical. Where dedicated aggregators like 1inch focus purely on swap routing, and dedicated vault platforms like Enzyme Finance focus purely on asset management infrastructure, Velvet combines aggregation, vaults, AI-driven execution, and — uniquely — synthetic pre-IPO markets into one terminal. This breadth is a genuine differentiator, but it also means Velvet competes indirectly against several categories of established, often better-capitalized single-purpose competitors simultaneously, rather than owning a clearly defended niche.

The synthetic pre-IPO product specifically appears to be a genuinely novel offering with limited direct competition at scale, giving Velvet a temporary first-mover position in that narrow niche. However, this same novelty is precisely what drove the extreme, narrative-dependent volatility documented in Section 8 — a strength and a risk stemming from the same source.

RECENT NEWS & UPDATES (2023–2026)

NEWS TIMELINE

DATE	EVENT
Jun 29, 2026	VELVET reaches all-time high of \$2.092-\$2.16. VelvetX iPhone home screen app launches same day.
Jun 19, 2026	Velvet publishes update on autonomous 24/7 AI Agent Trading Strategy.
Jun 12, 2026	SpaceX completes its IPO on NASDAQ (ticker SPCX), raising \$75B at a ~\$1.75-1.8T valuation. VELVET rises 125% intraday to a high of \$1.83-\$1.85; market cap briefly hits ~\$745M against under \$1M in actual protocol deposits. Liquidity migrated to Aerodrome Finance on Base same day.
Jun 10-11, 2026	Velvet launches synthetic leveraged pre-IPO markets for SpaceX, OpenAI, and Anthropic. On-chain analysts flag team-linked and market-maker-linked wallets (including DWF-linked wallets) moving millions of VELVET to exchanges mid-rally.
Jun 3, 2026	Velvet announces integration with Trade.xyz, unifying crypto, stocks, commodities and research tools in one platform — the announcement coincides with VELVET breaking a long-standing \$0.20-\$0.22 resistance zone.
Jun 2, 2026	Velvet x Trade[XYZ] partnership formally announced, described as providing leveraged access to global markets.
May 21, 2026	Velvet Gems 'Epoch 11' rewards period begins.
2025-2026	Falcon Finance BNB Chain vault goes live, offering 20-35% APR in USDf for 180-day VELVET locks (capped at 50M VELVET).
2023	Velvet Capital launches as an AI-powered DeFi asset management platform centered on vault creation, initially focused on BNB Chain.

ANALYSIS OF KEY EVENTS

The June 2026 SpaceX pre-IPO episode is the single most consequential event in VELVET's trading history, and it illustrates both the platform's genuine product innovation and its acute market risk. The underlying catalyst was real: Velvet launched a genuinely novel synthetic trading product timed almost perfectly with one of the most anticipated IPOs in history. However, on-chain analysts simultaneously identified a less flattering pattern — a thin freely-tradable float meeting an extremely hot narrative, with team-linked and market-maker-linked wallets (including entities associated with investor DWF Ventures/Labs) moving significant token volumes to exchanges during the exact window of peak retail buying interest. The subsequent 70-84% correction from the various local highs, occurring within days in each case, is consistent with what market analysts describe as the 'base case' outcome for small-cap narrative trades once initial momentum buyers are filled and early holders exit. As of this report, no formal exchange investigation into VELVET specifically has been reported, distinguishing it from the more severe allegations documented for other tokens in this research series — but the pattern of insider wallet activity during the rally remains a legitimate point of concern flagged by independent on-chain observers.

INVESTMENT POTENTIAL & RISKS

BULLISH CASE vs BEARISH RISKS

BULLISH CASE ▲	BEARISH RISKS ▼
▲ Genuine multi-chain product live across 7 major networks with real reported usage (100K+ users, \$200M+ traded)	▼ Token collapsed 70-84% from multiple local highs within days during June 2026 — extreme volatility
▲ Backed by YZi Labs (formerly Binance Labs) — a Tier 1, highly selective crypto incubator	▼ On-chain analysts identified team-linked and market-maker-linked wallets moving tokens to exchanges mid-rally
▲ Broad feature set: AI copilot, vaults, white-label infra, aggregation, and novel synthetic markets in one terminal	▼ Peak market cap (~\$745M) was wildly disconnected from actual protocol deposits (under \$1M) during the rally
▲ 7 independent security audits (PeckShield, Spearbit, OpenZeppelin, and others) plus an active bug bounty	▼ Synthetic pre-IPO markets are highly speculative leveraged derivatives, not real equity exposure
▲ Genuinely novel synthetic pre-IPO product created real first-mover attention and trading volume	▼ Founder and team backgrounds are not extensively documented in public sources
▲ veVELVET model aligns long-term holders with governance, fee discounts, and revenue share	▼ Project has pivoted significantly from its original 2023 positioning, indicating strategic uncertainty
▲ Wide investor base across 20+ named backers spanning 4 tiers, DAOs, and a corporate foundation	▼ 35% of total supply (Team & Advisors + Early Backers) remains fully locked — meaningful future dilution
▲ Active, frequent product shipping cadence — mobile app, new integrations, and features throughout 2026	▼ DWF Ventures is both an investor and an active market maker — a potential conflict of interest
▲ Falcon Finance vault provides a lower-volatility yield option (20-35% APR) for long-term holders	▼ No disclosed institutional-grade due diligence report independent of incubator backing
▲ 43.88% of supply already unlocked reduces (though does not eliminate) near-term dilution shock	▼ Price action is heavily narrative-dependent (SpaceX/AI hype) rather than fundamentals-anchored

DETAILED RISK ASSESSMENT

RISK FACTOR	SEVERITY	DETAIL
Extreme Volatility Risk	CRITICAL	VELVET has shown some of the most extreme short-term price swings in the 2026 market — a 1,400%+ rally followed by 70-84% corrections within days on multiple occasions. This level of volatility is exceptional even by crypto standards.
Insider Wallet / Distribution Risk	HIGH	Independent on-chain analysts identified team-linked and market-maker-linked wallets moving significant VELVET volumes to exchanges during peak rally windows — a pattern that, while not conclusively proven as coordinated manipulation, warrants serious caution.
Narrative Dependency Risk	HIGH	VELVET's most dramatic price action has been driven almost entirely by external narrative catalysts (SpaceX IPO hype) rather than platform fundamentals, making the token highly exposed to fading interest once a narrative cycle ends.
Team Transparency Risk	MEDIUM	Limited public documentation of founder and team professional backgrounds makes independent due diligence on team credibility more difficult than for fully disclosed teams.
Conflict of Interest Risk	MEDIUM	DWF's dual role as both investor and market maker, combined with DWF-linked wallet activity during the rally, represents a structural conflict of interest worth independent scrutiny.

RISK FACTOR	SEVERITY	DETAIL
Supply Dilution Risk	MEDIUM	With 35% of total supply held by Team & Advisors and Early Backers still fully locked, meaningful future unlock events remain ahead, which could pressure price independent of platform performance.
Strategic Pivot Risk	MEDIUM	The project's shift from vault-focused asset management to a broad speculative trading terminal (including leveraged synthetic pre-IPO markets) signals an evolving, not yet fully settled, business model.
Product / Platform Risk	LOW-MEDIUM	Despite the token's volatility, the underlying platform shows genuine usage metrics, multiple security audits, and a consistent shipping cadence — indicating real product development independent of the token's price behavior.

NBZ RESEARCH VERDICT

Velvet Capital presents a case study in the tension between genuine product innovation and extreme speculative risk. On the product side, the platform has real, verifiable usage — 100,000+ users, \$200M+ traded onchain, seven independent security audits, and a broad, consistently expanding feature set spanning AI-powered trading, vault management, white-label infrastructure, and a genuinely novel synthetic pre-IPO product. Backing from YZi Labs adds a meaningful credibility signal. On the risk side, however, VELVET's June 2026 price action was among the most extreme of any token in this research series: a 1,400%+ rally driven by SpaceX IPO hype, a peak market cap of roughly \$745 million against under \$1 million in actual protocol deposits, and subsequent corrections of 70-84% within days — all while independent on-chain analysts flagged team-linked and market-maker-linked wallets moving tokens to exchanges during the exact window of peak retail interest. The underlying platform may well continue to grow usage and ship products regardless of token price, but the token itself has demonstrated a pattern of narrative-driven, thinly-floated volatility that places it firmly in high-risk speculative territory. Prospective holders should weigh the platform's genuine utility separately from the token's demonstrated price behavior. Not financial advice.

Data sourced from: CoinMarketCap, CoinGecko, CryptoRank, velvet.capital official website and FAQ, docs.velvet.capital, Falcon Finance research, Phemex Academy, Bitget News, crypto.news, SunCrypto Blog, MEXC Blog, Gate Wiki, CNBC, Reuters, Smartasset, Nasdaq Private Market, user-provided CryptoRank and CoinMarketCap screenshots.